

24STCV01236 24STCV01236

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Case Number: 24STCV01236 Hearing Date: September 16, 2026 Dept: 529

KIDS EMPIRE ONTARIO, LLC VS DILLWAY
ASSOCIATES, L.P., ET AL.

PLAINTIFF'S MOTION FOR AN ORDER QUASHING OR MODIFYING THIRD-PARTY
SUBPOENA ISSUED TO KIDDER MATHEWS OF CALIFORNIA, INC. AND REQUEST FOR SANCTIONS

Date

of Hearing: September

16, 2026 Trial Date: January

25, 2027

Department: 529 Case No.: 24STCV01236

Moving

Party: Plaintiff Kids Empire Ontario, LLC

Responding

Party: Defendants Dillway Associates,

L.P. and Reliable Properties

BACKGROUND

This action arises from alleged fraud concerning a lease agreement which was entered into on February 23, 2018. On January 17, 2024, Plaintiff Kids Empire Ontario, LLC ("Plaintiff") filed a Complaint against Defendants Dillway Associates, L.P. ("Dillway"), Reliable Properties ("Reliable") (collectively "Defendants") and DOES 1 through 10, inclusive, alleging causes of action for: (1) Fraud; (2) Rescission (Mistake);

and (3) Declaratory Relief.

Plaintiff alleges that David Gold (“Gold”) of Defendant Reliable conducted the lease negotiations on behalf of Defendants. (Complaint, ¶¶ 7-8; Exh. 1.) Pursuant to the lease, Plaintiff is required to pay rent and its share of common area maintenance (“CAM”) expenses. (Complaint, ¶ 9.) In the negotiations that preceded the execution of the lease, Gold represented that Plaintiff’s estimated monthly CAM expense obligation would be \$5,040, and Defendants restated and confirmed this estimate in the lease. (Complaint, ¶ 9.) Defendants used this CAM estimate to induce Plaintiff to enter the lease and Plaintiff later discovered it was false. (Complaint, ¶ 10.) Plaintiff further alleges that it commenced its occupancy and operations in April 2021 and, thereafter, Defendants informed Plaintiff the monthly CAM charge was \$8,367.37, substantially higher than Defendants’ estimate of \$5,040. (Complaint, ¶ 11.) Plaintiffs sought an explanation from Defendants. (Complaint, ¶ 12.) Plaintiff alleges that Defendants’ representation as to the amount of CAM expenses was false. (Complaint, ¶ 16.)

On November 18, 2024, Dillway Associates filed a First Amended Cross-Complaint against Kids Empire Ontario, LLC, Haim Abraham Elbaz and Blandine Marie Clair for breach of contract, accounting, breach of guaranty and declaratory relief.

On May 17, 2024, Plaintiff filed and served a Notice of Related Case indicating that the instant action is related to Kids Empire Pomona, LLC v. Royal Oak, L.P., et al., LASC Case No. 24STCV01254 (the “2d Action”), which was filed on January 17, 2024 at 2:07 PM and is pending in Department 40 of this Court. The 2d Action was filed after the instant action. Judge Recana denied the request to relate the two actions.

[TENTATIVE]

RULING

Plaintiff’s
Motion for an Order Quashing or Modifying Third-Party Subpoena Issued to Kidder Mathews of California, Inc. and Request for Sanctions is GRANTED IN PART.

DISCUSSION

Plaintiff Kids Empire Ontario, LLC move, pursuant to Code of Civil Procedure section 1987.1, for an order quashing the subpoena issued by Defendants to third-party Kidder Mathews of California, Inc., or directing compliance with the subpoena in a manner that will ensure documents protected by the attorney-client privilege or work product doctrine are not produced to Defendants.

Code of Civil Procedure section 1987.1

states, "When a subpoena requires the attendance of a witness or the production of [documents], the court, upon motion reasonably made by the party, the witness or any consumer described in Section 1985.3...may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon such terms or conditions as the court shall declare, including protective orders." "The court may make any other order as may be appropriate to protect the parties, the witness, or the consumer from unreasonable or oppressive demands including unreasonable violations of a witness's or consumer's right of privacy." (Ibid.)

Plaintiff argues many of the 22 document requests encompass attorney-client privilege and/or attorney work product. As a result, Kids Empire initially proposed to Defense Counsel that: (1) Kidder Mathews produce all the responsive documents it locates to him so that he could screen them for privilege before they were produced to Defendants' counsel; and (2) if he identified any documents that he contends are privileged or protected by the work product doctrine, he would identify those documents on a privilege log. (Hayes Decl., ¶¶ 3-5, Exhs. 2-4.) However, Defense Counsel rejected the offer. As a result, Plaintiff brings the motion for an order quashing the Subpoena or modifying it such that its counsel may screen Kidder Mathews' document production for documents covered by the attorney-client privilege or attorney work product doctrine before they are produced to Defendants.

In opposition, Defendants Dillway

Associates, L.P and Reliable Properties argue the motion to quash should either be denied entirely for its lack of merit, or as moot, as counsel for Plaintiff has already unilaterally conducted a "first look" review of all of the documents. Defendants contend they even offered to have a deposition officer isolate any emails that included Plaintiffs' counsel and then have Plaintiff's counsel have a first look at those emails but Plaintiff never agreed to that compromise. Moreover, Defendants argue the "first look" is an overreach and request that for each document withheld on the basis of privilege, a detailed

privilege log must be provided which states: (1) The Bates number(s); (2) the date; (3) the author/sender; (4) all recipients (both primary and copied); (5) the privilege claimed; and (6) a concise summary explaining the nature and context of the document sufficient to prove that the privilege actually applies.

The court modifies the subpoena. Plaintiff may have a privilege claim in these documents and the court agrees a First Look would help determine what, if any, document contains privileged information. Plaintiff must identify each document being withheld in a privilege log. Defendants may move to compel if warranted.

Based on the foregoing, Plaintiff's Motion for an Order Quashing or Modifying Third-Party Subpoena Issued to Kidder Mathews of California, Inc. is GRANTED in part.

Sanctions

Plaintiff seeks sanctions in the amount of \$1,375.00 against Defendants on the grounds this motion was avoidable. Plaintiff contends Defendants forced Plaintiff to litigate this issue rather than accept the First Look proposal.

In opposition, Defendants argue they could not blindly agree to allow Plaintiff's counsel to hijack Kidder Mathews' entire production and unilaterally decide which documents would be produced.

The court denies the request for sanctions. The court finds Defendants acted with substantial justification in opposing the motion.